20

The Bretton Woods Conference and After

HARRY WHITE REALIZED THAT AN international conference with delegations from many countries, many of whom did not speak English, could easily descend into chaos with the deliberations leading nowhere. Although a compromise had been reached on some matters, there remained many areas of disagreement and new controversies were bound to crop up. In order to keep control over the Conference, it was essential to have a small organization which would keep it moving in the right direction. Aware of this need, White set up such an organization with staff drawn from his closest assistants at the Treasury, persons from the Federal Reserve, the State Department, and other government agencies. These people were to become technical advisers to the American delegates. It was this small group that would understand the issues, defend the American position, and ensure that the agreements reached reflected this position as closely as possible.[1]

On June 15, this group which was divided into four committees corresponding to those that would be organized at the Conference, met at Claridge Hotel, Atlantic City, and for two weeks they were the 'the microcosm of the Bretton Woods Conference'.[2] Each committee was handed one or two typed sheets called 'flimsies'. The flimsies listed the US Treasury's proposed amendments to the Joint Statement of Principles and alternative suggestions made by foreign delegations since the publication of the Statement. The committees' assignment was to discuss related provisions of the Statement and the proposed alternatives, and to suggest